

FRMO CORP.

A Delaware Corporation

Principal Executive Offices and Principal Place of Business:
1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

914-632-6730
www.frmocorp.com
info@frmocorp.com
SIC Code: 6719 – Holding Company

Annual Report
For the Year Ended May 31, 2022
(the “Reporting Period”)

As of May 31, 2022 [Current Reporting Period], the number of shares outstanding of our Common Stock was:
44,017,781

As of February 28, 2021 [Prior Reporting Period], the number of shares outstanding of our Common Stock was:
44,017,781

As of May 31, 2021 [Prior Completed Fiscal Year End], the number of shares outstanding of our Common Stock was:
44,012,781

Indicate by check mark whether the company is a shell company (as defined in Rule 405 of the Securities Act of 1933 and Rule 12b-2 of the Exchange Act of 1934):

Yes: ☐ No: ☒

Indicate by check mark whether the company’s shell status has changed since the previous reporting period:

Yes: ☐ No: ☒

Indicate by check mark whether a Change in Control of the company has occurred over this reporting period:

Yes: ☐ No: ☒

1) Name and address(es) of the issuer and its predecessors (if any)

FRMO Corp.

FRMO Corp. is an active corporation incorporated in the state of Delaware in November 1993. The name of the Corporation was changed from FRM Nexus (a Delaware Corporation) to FRMO Corp. on November 29, 2000.

Describe any trading suspension orders issued by the SEC concerning the issuer or its predecessors since inception:

None

List any stock split, stock dividend, recapitalization, merger, acquisition, spin-off, or reorganization either currently anticipated or that occurred within the past 12 months:

None

The address(es) of the issuer's principal executive office:

1 North Lexington Avenue, Suite 12C
White Plains, NY 10601

The address(es) of the issuer's principal place of business:

Check box if principal executive office and principal place of business are the same address: ☒

Has the issuer or any of its predecessors been in bankruptcy, receivership, or any similar proceeding in the past five years?

Yes: ☐ No: ☒

If this issuer or any of its predecessors have been the subject of such proceedings, please provide additional details in the space below:

N/A

2) Security Information

Trading symbol:	FRMO	
Exact title and class of securities outstanding:	Common Stock	
CUSIP:	30262F205	
Par or stated value:	\$0.001	
Total shares authorized:	90,000,000	as of date: May 31, 2022
Total shares outstanding:	44,017,781	as of date: May 31, 2022
Number of shares in the Public Float:	14,173,368	as of date: May 31, 2022
Total number of shareholders of record:	58	as of date: May 31, 2022

All additional class(es) of publicly traded securities (if any):

Trading symbol:	N/A	
Exact title and class of securities outstanding:	Preferred Stock	
CUSIP:	N/A	
Par or stated value:	\$0.001	
Total shares authorized:	2,000,000	as of date: May 31, 2022
Total shares outstanding:	None	as of date: May 31, 2022

Transfer Agent

Name:
Broadridge Corporate Issuer Solutions, Inc.
1717 Arch Street, Suite 1300
Philadelphia, PA 19103

Phone: 800-733-1121
Email: Shareholder@Broadridge.com

Is the Transfer Agent registered under the Exchange Act? Yes: ☒ No: ☐

3) Issuance History

A. Changes to the Number of Outstanding Shares

Check this box to indicate there were no changes to the number of outstanding shares within the past two completed fiscal years and any subsequent periods: ☐

Number of Shares outstanding as of May 31, 2020	Opening Balance: Common: 44,032,781 Preferred: None								
Date of Transaction	Transaction type (e.g. new issuance, cancellation, shares returned to treasury)	Number of Shares Issued (or cancelled)	Class of Securities	Value of shares issued (\$/per share) at Issuance	Were the shares issued at a discount to market price at the time of issuance? (Yes/No)	Individual/ Entity Shares were issued to (entities must have individual with voting / investment control disclosed).	Reason for share issuance (e.g. for cash or debt conversion) OR Nature of Services Provided (if applicable)	Restricted or Unrestricted as of this filing?	Exemption or Registration Type?
October 8, 2020	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of \$6.04 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 8, 2020	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price of \$6.04 per share	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 14, 2020	Shares repurchased, cancelled, and retired to authorized and unissued.	20,000	Common	Price paid was \$4.88 per share, per stock purchase agreement under existing stock repurchase program.	No	No issuance; shares were cancelled and retired to authorized and unissued	N/A	Restriction does not apply to shares repurchased by Company	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 7, 2021	Option grant	Option grant to purchase 5,000 shares of common stock, exercise price of \$10.85 per share	Common	N/A	N/A	Option Granted to Allan Kornfeld	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act.
October 7, 2021	Option grant	Option grant to purchase 3,000 shares of common stock, exercise price	Common	N/A	N/A	Option Granted to Jay Hirschson	Director Compensation	Options are unexercised. Will be restricted upon exercise.	Registration of these Shares under the Securities Act of 1933, as amended, is not required

		of \$10.85 per share							pursuant to the exemption provided by Section 4(2) of the Act.
October 7, 2021	Option Exercise	Option exercise of 5,000 shares of common stock at price of \$9.18 per share Grant date: 10/7/2014	Common	Value of Shares at issuance \$10.85 per share	Yes	Option Exercised by Allan Kornfeld	Option Exercise	Shares are restricted for at least 1 year from issue date.	Shares carry the customary Securities Act of 1933 legend.
Shares Outstanding on: May 31, 2022	Ending Balance: Common: 44,017,781 Preferred: None								

B. Debt Securities, Including Promissory and Convertible Notes

Check this box if there are no outstanding promissory, convertible notes or debt arrangements: ☒

4) Financial Statements

A. The following financial statements were prepared in accordance with:

- ☒ U.S. GAAP
☐ IFRS

B. The financial statements for this reporting period were prepared by (name of individual):

Name: Victor Brodsky
Title: Consultant
Relationship to Issuer: Consultant

The financial statements listed in items 4C – 4H are appended to this Disclosure Statement.:

- C. Report of Independent Registered Public Accounting Firm
- D. Consolidated Balance Sheets
- E. Consolidated Statements of Income
- F. Consolidated Statements of Stockholders' Equity
- G. Consolidated Statements of Cash Flows
- H. Notes to Consolidated Financial Statements

5) Issuer's Business, Products and Services

The purpose of this section is to provide a clear description of the issuer's current operations. In answering this item, please include the following:

A. Summarize the issuer's business operations (If the issuer does not have current operations, state "no operations")

The corporation is an intellectual capital firm identifying and managing investment strategies and business opportunities.

B. Please list any subsidiaries, parents, or affiliated companies.

Fromex Equity Corp., a Delaware corporation, is a wholly owned subsidiary of FRMO Corp.

The Company also holds a 4.95% interest in Horizon Kinetics LLC ("Horizon") and earns substantially all of its advisory fees from Horizon. As of May 31, 2022 and 2021, the Company held a 21.88% and 22.02% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon and certain officers, principal stockholders and directors of the Company. Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 78.12% and 77.98% in HKHA has been eliminated from results of operations for the periods ended May 31, 2022 and 2021, and as of May 31, 2022 and 2021. Total stockholders' equity includes, as a separate item, the amount attributable to the noncontrolling interests. The Company maintains its corporate office in White Plains, New York.

Investment Concentration

The following are the approximate amounts of the Company's investments in equity securities held directly and indirectly, through its various investments in managed funds, amounting to greater than 10% of stockholders' equity attributable to the Company ("Equity"). None of the Company's other direct or indirect investments were greater than 10% of Equity as of May 31, 2022 and 2021.

Investment	As of May 31, 2022		As of May 31, 2021	
	Amount	Percent of Equity	Amount	Percent of Equity
Investment A	\$ 92,563,000	51.0%	\$ 83,425,000	44.1%
Investment B	\$ 18,238,000	10.1%	\$ 22,448,000	11.9%

C. Describe the issuers' principal products or services: Holding Company

6) Issuer's Facilities

Company leases fully furnished office space from Horizon Kinetics LLC at 1 North Lexington Avenue, Suite 12C, White Plains, New York 10601. The lease term is one year renewable for consecutive one-year periods until terminated.

Company owns two (2) warehouses, approximately 30,000 square feet each, situated on 3.56 acres of land located in North Carolina. The buildings are subject to a first mortgage with a principal balance of \$729,863 as of May 31, 2022.

7) Company Insiders (Officers, Directors, and Control Persons)

Name of Officer/Director and Control Person	Affiliation with Company (e.g. Officer/Director/Owner of more than 5%)	Residential Address (City / State Only)	Number of shares owned	Share type/class	Ownership Percentage of Class Outstanding
Murray Stahl	Chairman, CEO,	Chappaqua, NY	7,165,528	Common	16.3%
John C. Meditz	Owner of more than 5%	Weehawken, NJ	7,139,851	Common	16.2%
Steven Bregman	President, CFO, Director	Dobbs Ferry, NY	6,659,566	Common	15.1%
Thomas C. Ewing	Owner of more than 5%	Charlotte, NC	4,605,858	Common	10.5%
Peter Doyle	Vice President, Director	Scarsdale, NY	4,226,140	Common	9.6%
Lawrence J. Goldstein	Director, Controls more than 5% (incl. Santa Monica Partners, L.P. ownership)	Purchase, NY	1,863,974	Common	4.2%
Santa Monica Partners, L.P.	Controlled by Mr. Goldstein	Larchmont, NY	1,011,857	Common	2.3%
Allan Kornfeld	Director	Jackson, NJ	33,500	Common	*
Dov Glickman	Director	Teaneck, NJ	4,420	Common	*
Jay P. Hirschson	Director	New York, NY	3,000	Common	*

Herbert M. Chain	Director	Forest Hills, NY	1,000	Common	*
Alice C. Brennan	Director	Ridgewood, NJ	500	Common	*
* Less than 1%					

8) Legal/Disciplinary History

A. Please identify whether any of the persons or entities listed above have, in the past 10 years, been the subject of:

1. A conviction in a criminal proceeding or named as a defendant in a pending criminal proceeding (excluding traffic violations and other minor offenses);

None

2. The entry of an order, judgment, or decree, not subsequently reversed, suspended or vacated, by a court of competent jurisdiction that permanently or temporarily enjoined, barred, suspended or otherwise limited such person's involvement in any type of business, securities, commodities, or banking activities;

None

3. A finding or judgment by a court of competent jurisdiction (in a civil action), the Securities and Exchange Commission, the Commodity Futures Trading Commission, or a state securities regulator of a violation of federal or state securities or commodities law, which finding or judgment has not been reversed, suspended, or vacated; or

None

4. The entry of an order by a self-regulatory organization that permanently or temporarily barred, suspended, or otherwise limited such person's involvement in any type of business or securities activities.

None

B. Describe briefly any material pending legal proceedings, other than ordinary routine litigation incidental to the business, to which the issuer or any of its subsidiaries is a party or of which any of their property is the subject. Include the name of the court or agency in which the proceedings are pending, the date instituted, the principal parties thereto, a description of the factual basis alleged to underlie the proceeding and the relief sought. Include similar information as to any such proceedings known to be contemplated by governmental authorities.

None

9) Third Party Providers

Please provide the name, address, telephone number and email address of each of the following outside providers:

Securities Counsel

Name: Morris Simkin
Firm: Law Office of Morris Simkin
Address 1: 5400 Broken Sound Blvd. NW, Apt. 431
Address 2: Boca Raton, FL 33487
Phone: (212) 455-0476
Email: msimkin@securitiesregslawyer.com

Accountant or Auditor

Name: John Basile, Engagement Partner
Firm: Baker Tilly US, LLP (formerly known as Baker Tilly Virchow Krause, LLP)
Address 1: One Penn Plaza, Suite 3000
Address 2: New York, NY 10119
Phone: (212) 697-6900
Email: John.Basile@bakertilly.com

Investor Relations

None

Other Service Providers

None

10) Issuer Certification

Principal Executive Officer:

I, Murray Stahl certify that:

1. I have reviewed this Annual Disclosure Statement of FRMO Corp.;
2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

August 12, 2022

/s/ Murray Stahl

Principal Financial Officer:

I, Steven Bregman certify that:

1. I have reviewed this Annual Disclosure Statement of FRMO Corp.;
2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

August 12, 2022

/s/ Steven Bregman

**FRMO CORPORATION
AND SUBSIDIARIES**

White Plains, New York

CONSOLIDATED FINANCIAL STATEMENTS

Including Report of Independent
Registered Public Accounting Firm

As of and for the Years Ended May 31, 2022 and 2021

**FRMO CORPORATION
AND SUBSIDIARIES**

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Report of Independent Registered Public Accounting Firm

To the Board of Directors and Stockholders of
FRMO Corporation and Subsidiaries

Opinions on the Consolidated Financial Statements

We have audited the accompanying consolidated balance sheets of FRMO Corporation and Subsidiaries (the Company) as of May 31, 2022 and 2021, the related consolidated statements of income, stockholders' equity and cash flows for the years then ended, and the related notes (collectively referred to as the consolidated financial statements). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of May 31, 2022 and 2021 and the results of its operations and its cash flows for the years then ended, in conformity with accounting principles generally accepted in the United States of America.

Basis for Opinions

These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on the Company's consolidated financial statements based on our audits. We are a public accounting firm registered with the Public Company Accounting Oversight Board (United States) (PCAOB) and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB and in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the consolidated financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that our audits provide a reasonable basis for our opinion.

Critical Audit Matter

The critical audit matter communicated below is a matter arising from the current period audit of the consolidated financial statements that was communicated or required to be communicated to the audit committee and that (i) relates to accounts or disclosures that are material to the consolidated financial statements and (ii) involved especially challenging, subjective, or complex judgments. The communication of the critical audit matter does not alter in any way our opinion on the consolidated financial statements, taken as a whole, and we are not, by communicating the critical audit matter below, providing a separate opinion on the critical audit matter or on the accounts or disclosures to which it relates.

Investments - Fair Value Valuation for Level 2 and NAV Measured Investments

Critical Audit Matter Description

As described in Notes 2 and 6 to the consolidated financial statements, investment fair value valuation represents management's assessment as to the fair value of the Company's investments as of May 31, 2022. As of May 31, 2022, the total investment valued at fair value was approximately \$270.0 million of assets and \$2.6 million of liabilities, of which approximately \$82.6 million represents investments without quoted market prices or additional inputs that are factored into the valuation. To value these assets, the Company uses recognized pricing services or valuation specialists that utilize observable data points and appropriate valuation methodologies. The Company assesses their investments in managed funds at their estimated fair value using the net asset value as a practical expedient.

The determination of the estimate involves a higher degree of management subjectivity, and includes factors such as using available market information and appropriate valuation methodologies. Considerable judgment is required in interpreting market data to develop the estimates of fair value.

The principal considerations for our determination of this critical audit matter is that significant judgment and estimation that is exercised by management in determining the investments valuation, which in turn led to a high degree of auditor judgment, subjectivity and effort in performing procedures and in evaluating audit evidence obtained relating to the fair value valuations, including the qualitative component.

How the Critical Audit Matter was Addressed in the Audit

Addressing the matter involved performing procedures and evaluating audit evidence in connection with forming our overall opinion on the consolidated financial statements. These procedures included, among others, testing management's process for estimating the fair value, including evaluating the appropriateness of the methodology and the Company's assessment of market information and evaluating the reasonableness of significant assumptions and judgments used by management to estimate the qualitative component of the fair values. A third party pricing service was used when possible and third party confirmations were utilized to confirm those managed funds activity that use the net asset value as a practical expedient.

The image shows a handwritten signature in black ink that reads "Baker Tilly US, LLP". The signature is written in a cursive, flowing style.

We have served as the Company's auditor since 2001.

New York, New York
August 12, 2022

CONSOLIDATED FINANCIAL STATEMENTS

**FRMO CORPORATION
AND SUBSIDIARIES**
CONSOLIDATED BALANCE SHEETS
As of May 31, 2022 and 2021

ASSETS		
	May 31, 2022	May 31, 2021
Current Assets		
Cash and cash equivalents	\$ 33,289,454	\$ 34,971,075
Accounts receivable (due from related parties)	2,182,217	1,980,262
Prepaid income taxes	732,553	-
Equity securities, at fair value (cost of \$74,399,681 and \$72,736,126 at May 31, 2022 and 2021, respectively)	187,386,224	171,733,386
Other current assets	167,357	167,357
Total Current Assets	223,757,805	208,852,080
Cryptocurrency mining assets, net of accumulated depreciation of \$711,134 and \$412,193 at May 31, 2022 and 2021, respectively)	1,632,318	1,386,199
Investments in limited partnerships and other equity investments at fair value (cost of \$37,790,957 and \$35,882,528 at May 31, 2022 and 2021, respectively)	82,629,581	86,853,538
Investments in Securities Exchanges	4,815,025	4,815,025
Other investments	546,124	312,045
Investment in Horizon Kinetics LLC	14,701,779	16,366,211
Participation in Horizon Kinetics LLC Revenue Stream	10,200,000	10,200,000
Total Assets	<u>\$338,282,632</u>	<u>\$328,785,098</u>
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current Liabilities		
Accounts payable and accrued expenses	\$ 181,535	\$ 182,709
Income taxes payable	-	2,037,514
Current portion of mortgage note payable	30,023	28,877
Securities sold, not yet purchased (proceeds of \$8,548,222 and \$11,709,149 at May 31, 2022 and 2021, respectively)	2,573,355	6,118,362
Total Current Liabilities	2,784,913	8,367,462
Deferred tax liability	20,470,439	20,773,999
Mortgage note payable, net of current portion	699,840	729,862
Total Liabilities	23,955,192	29,871,323
Stockholders' Equity		
Redeemable preferred stock - \$.001 par value; Authorized - 2,000,000 shares; no shares outstanding	-	-
Common stock - \$.001 par value, authorized 90,000,000 shares Issued and outstanding - 44,017,781 shares and 44,012,781 shares at at May 31, 2022 and 2021, respectively	44,017	44,012
Additional paid-in capital	41,276,829	40,718,916
Retained earnings	140,087,853	137,141,976
Stockholders' Equity Attributable to the Company	181,408,699	177,904,904
Noncontrolling interests	132,918,741	121,008,871
Total Stockholders' Equity	314,327,440	298,913,775
Total Liabilities and Stockholders' Equity	<u>\$338,282,632</u>	<u>\$328,785,098</u>

See report of independent registered public accounting firm and notes to consolidated financial statements.

**FRMO CORPORATION
AND SUBSIDIARIES**

CONSOLIDATED STATEMENTS OF INCOME
For the Years Ended May 31, 2022 and 2021

	2022	2021
REVENUE		
Fees	\$ 4,678,025	\$ 3,722,895
Dividends and interest income, net	1,645,601	1,699,858
Net realized losses from investments	(1,504,448)	(2,425,095)
Equity earnings from limited partnerships and limited liability companies	653,378	6,530,591
Unrealized (losses) gains from investments	(5,576,320)	44,817,799
Total revenue before unrealized gains from equity securities	(103,764)	54,346,048
Unrealized gains from equity securities	13,977,730	96,222,532
Total Revenue	<u>13,873,966</u>	<u>150,568,580</u>
OPERATING EXPENSES		
General and administrative expenses	1,081,545	1,121,525
Depreciation	298,942	228,157
Total Expenses	<u>1,380,487</u>	<u>1,349,682</u>
Income from Operations before Provision for Income Taxes	12,493,479	149,218,898
(Benefit from) Provision for Income Taxes	(773,640)	19,890,130
Net Income	13,267,119	129,328,768
Less net income attributable to noncontrolling interests	10,321,242	69,170,574
Net Income Attributable to the Company	<u>\$ 2,945,877</u>	<u>\$ 60,158,194</u>
NET INCOME PER COMMON SHARE		
Basic and diluted	<u>\$ 0.07</u>	<u>\$ 1.37</u>
WEIGHTED AVERAGE COMMON SHARES OUTSTANDING		
Basic	<u>44,016,014</u>	<u>44,020,233</u>
Diluted	<u>44,034,813</u>	<u>44,038,179</u>

See report of independent registered public accounting firm and notes to consolidated financial statements.

**FRMO CORPORATION
AND SUBSIDIARIES**
CONSOLIDATED STATEMENT OF STOCKHOLDERS' EQUITY
For the Years Ended May 31, 2022 and 2021

	Redeemable Preferred Stock		Common Stock		Additional Paid-In Capital	Retained Earnings	Stockholders' Equity Attributable to the Company	Non- Controlling Interests	Total Stockholders' Equity
	Shares	Amount	Shares	Amount					
BALANCE - May 31, 2020	-	\$ -	44,032,781	\$ 44,032	\$ 37,965,027	\$ 76,983,782	\$ 114,992,841	\$ 46,891,379	\$ 161,884,220
Equity Compensation	-	-	-	-	21,440	-	21,440	-	21,440
Exercise of Stock Options	-	-	(20,000)	(20)	(97,580)	-	(97,600)	-	(97,600)
Non-cash Compensation	-	-	-	-	103,200	-	103,200	-	103,200
Capital Accounts of Consolidated Limited Liability Company	-	-	-	-	2,726,829	-	2,726,829	-	2,726,829
Net Loss	-	-	-	-	-	60,158,194	60,158,194	69,170,574	129,328,768
Capital contributed to consolidated subsidiary from noncontrolling interests	-	-	-	-	-	-	-	4,946,918	4,946,918
BALANCE - May 31, 2021	-	-	44,012,781	44,012	40,718,916	137,141,976	177,904,904	121,008,871	298,913,775
Equity Compensation	-	-	-	-	44,240	-	44,240	-	44,240
Exercise of Stock Options	-	-	5,000	5	45,895	-	45,900	-	45,900
Non-cash Compensation	-	-	-	-	103,200	-	103,200	-	103,200
Capital Accounts of Consolidated Limited Liability Company	-	-	-	-	364,578	-	364,578	-	364,578
Net Income	-	-	-	-	-	2,945,877	2,945,877	10,321,242	13,267,119
Capital contributed to consolidated subsidiary from noncontrolling interests	-	-	-	-	-	-	-	1,588,628	1,588,628
BALANCE - May 31, 2022	-	\$ -	44,017,781	\$ 44,017	\$ 41,276,829	\$ 140,087,853	\$ 181,408,699	\$ 132,918,741	\$ 314,327,440

See report of independent registered public accounting firm and notes to consolidated financial statements.

FRMO CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
For the Years Ended May 31, 2022 and 2021

	May 31,	
	2022	2021
CASH FLOWS FROM OPERATING ACTIVITIES		
Net income	\$ 13,267,119	\$ 129,328,768
Adjustments to reconcile net income to net cash flows from operating activities		
Non-cash compensation	103,200	103,200
Equity compensation	44,240	21,440
Net realized loss from investments	1,504,448	2,425,095
Equity earnings from limited partnerships and limited liability companies	(653,378)	(6,530,591)
Unrealized losses (gains) from investments subject to fair value valuation	5,576,320	(44,817,799)
Unrealized gains from equity securities	(13,977,730)	(96,222,532)
Non-cash fee revenue	(1,538,658)	(1,093,184)
Depreciation	298,942	228,157
Deferred income tax (benefit) expense	(303,560)	14,073,182
Changes in operating assets and liabilities:		
Accounts receivable	(201,955)	(1,358,255)
Prepaid income taxes	(732,553)	1,771,218
Other current assets	-	(25,000)
Accounts payable and accrued expenses	(1,174)	25,288
Income taxes payable	(2,037,514)	2,037,514
Net Cash Flows from (used in) Operating Activities	<u>1,347,747</u>	<u>(33,499)</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sale of investments	5,217,043	786,136
Purchases of investments	(2,134,978)	(9,655,983)
Proceeds from securities sold, not yet purchased	400,394	6,499,071
Purchases to cover securities previously sold	(5,211,155)	(11,156)
Distributions and proceeds from limited partnerships	38,633	64,648
Other investments	(511,268)	(531,290)
Purchase of cryptocurrency mining assets	(545,061)	(229,729)
Net Cash Flows used in Investing Activities	<u>(2,746,392)</u>	<u>(3,078,303)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Principal payments on mortgage payable	(28,876)	(20,062)
Proceeds from issuance of other consolidated subsidiary equity	60,000	160,000
Distributions to members of consolidated limited liability company	(360,000)	(402,968)
Repurchase of common stock	-	(97,600)
Proceeds from exercise of stock options	45,900	-
Net Cash Flows used in Financing Activities	<u>(282,976)</u>	<u>(360,630)</u>
Net Change in Cash and Cash Equivalents	<u>(1,681,621)</u>	<u>(3,472,432)</u>
CASH AND CASH EQUIVALENTS, Beginning of Period	34,971,075	38,443,507
CASH AND CASH EQUIVALENTS, END OF PERIOD	<u><u>\$ 33,289,454</u></u>	<u><u>\$ 34,971,075</u></u>
SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION		
Cash paid during the period for		
Income taxes	\$ 2,299,862	\$ 2,006,485
Interest	<u>\$ 128,499</u>	<u>\$ 177,126</u>
NONCASH INVESTING ACTIVITIES		
Investment acquired through the contribution of other investments	<u>\$ 2,174,175</u>	<u>\$ 7,832,640</u>

See report of independent registered public accounting firm and notes to consolidated financial statements.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS As of and for the Years Ended May 31, 2022 and 2021

NOTE 1 - Nature of Business and Basis of Presentation

FRMO Corporation ("FRMO" or the "Company") was incorporated in 1993 under the laws of the State of Delaware. In January 2001, FRMO spun off its operations in a transaction accounted for as a reverse pooling of interests. Since that time, FRMO has focused its activities on making strategic investments in public and private companies.

Management is experienced in the analysis of public and private companies and securities within a framework of identifying investment strategies and techniques that reduce risk. The Company endeavors to identify and participate in operating assets, particularly in the early stages of the expression of their ultimate value, in ways that are calculated to increase the value of the stockholders' interest in FRMO. Such assets are expected to include, but are not limited to, those whose values and earnings are based on intellectual capital. Of the many varieties of capital upon which investors have earned returns, ranging from real estate to silicon, perhaps the highest returns on capital have been earned on intellectual capital. It is the goal of FRMO to maximize its return on this form of asset. The identification of any business opportunities will follow the process employed by Horizon Kinetics, LLC ("Horizon" or "Horizon Kinetics"), to select and evaluate investment opportunities and strategies. Horizon was co-founded by Murray Stahl, Steven Bregman and Peter Doyle, officers and principal stockholders of the Company. Horizon is an investment advisory and independent research firm, the research activities serving primarily institutional investors. Horizon provides in-depth analysis of information-poor, under-researched companies and strategies to identify the complex or overlooked situations that can offer an advantage to the investor.

The consolidated financial statements include the accounts of FRMO and its controlled subsidiaries. The Company holds a 4.95% interest in Horizon Kinetics LLC and earns substantially all of its advisory fees from Horizon. As of May 31, 2022 and 2021, the Company held a 21.88% and 22.02% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon and certain officers, principal stockholders and directors of the Company. Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 78.12% and 77.98% in HKHA has been presented as noncontrolling interest in the accompanying consolidated financial statements for the years ended May 31, 2022 and 2021, and as of May 31, 2022 and 2021. Total stockholders' equity includes as a separate item the amount attributable to the noncontrolling interests. The Company maintains its corporate office in White Plains, New York.

The Company earns substantially all of its consulting and advisory fees from Horizon Kinetics as a result of an amendment of its product-specific revenue interests (see Note 4). For the years ended May 31, 2022 and 2021, fees earned by the Company include fees earned from Horizon Kinetics and other fees derived from assets managed by other parties based on the research of Horizon Kinetics. The Company earned consulting fees pursuant to an agreement with Santa Monica Partners, LP, whose manager is a director and stockholder of the Company. The consulting agreement was terminated effective February 28, 2021.

NOTE 2 - Summary of Significant Accounting Policies

Principles of Consolidation

The consolidated financial statements represent the consolidation of the accounts of FRMO and its subsidiaries in conformity with accounting principles generally accepted in the United States of America ("U.S. GAAP"). All intercompany accounts and transactions have been eliminated in consolidation. Investments in unconsolidated companies (generally 20 to 50 percent ownership), in which the Company has the ability to exercise significant influence but neither has a controlling interest nor is the primary beneficiary, are accounted for under the equity method of accounting. Investments in entities in which the Company does not have the ability to exercise significant influence are accounted for under the cost method of accounting. Under certain criteria indicated in Accounting Standards Codification ("ASC") 810, *Consolidation*, a partially-owned affiliate would be consolidated when it has less than a 50% ownership if the Company is the primary beneficiary of that entity.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS As of and for the Years Ended May 31, 2022 and 2021

NOTE 2 - Summary of Significant Accounting Policies (cont.)

Cash and Cash Equivalents

The Company considers all highly liquid investments with an original maturity of three months or less when purchased to be cash equivalents. At May 31, 2022 and 2021, the Company had balances in excess of federally insured limits on deposit with financial institutions. At May 31, 2022 the Company had: (1) three accounts with balances of approximately \$22,105,000, \$7,595,000 and \$2,998,000 at one large global financial institution, and (2) one account with a balance of approximately \$391,000 at another large global financial institution. The Company has not experienced any losses in such accounts, and management believes that it is not exposed to any significant credit risk on cash and cash equivalents.

Credit Risk

In the normal course of business, substantially all of the Company's securities transactions, money balances, and security positions are transacted with one broker. The Company is subjected to credit risk to the extent any broker with which it conducts business is unable to fulfill contractual obligations on its behalf. The Company's management monitors the financial condition of such broker and does not anticipate any losses from such counterparty.

Investment Valuation

The Company accounts for its investments in equity securities in accordance with ASU 2016-01 “*Financial Instruments*”, which requires that equity investments, including limited partnership interests, except those accounted for under the equity method of accounting, that have readily determinable fair value to be measured at fair value with any changes in fair value recognized in net income.

Equity securities are reported at their estimated fair values based on quoted market prices or a recognized pricing service, with unrealized gains and losses, included in unrealized gains from equity securities in the consolidated statements of income. Realized gains and losses are determined on the specific identification method. Equity securities that do not have readily determinable fair values may be measured at estimated fair value or cost less impairment, if any, adjusted for subsequent observable price changes, with changes in the carrying value recognized in net income.

The estimated fair values of financial instruments are determined by the Company using available market information and appropriate valuation methodologies. Considerable judgment is required in interpreting market data to develop the estimates of fair value. Accordingly, the estimates, when presented herein, are not necessarily indicative of the amounts that the Company could realize in a sale. In general, fair values determined by Level 1 inputs utilize quoted prices (unadjusted) in active markets for identical assets or liabilities. Fair values determined by Level 2 inputs utilize data points that are observable such as quoted prices, interest rates, and yield curves, and quoted prices for identical or similar instruments in markets that are not active. Fair values determined by Level 3 inputs are unobservable data points for the asset or liability, and includes situations where there is little, if any, market activity for the asset or liability. The Company does not have Level 3 assets or liabilities.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

As of and for the Years Ended May 31, 2022 and 2021

NOTE 2 - Summary of Significant Accounting Policies (cont.)

Investments in managed funds are recorded at fair value using the practical expedient and in accordance with Accounting Standards Update ("ASU") No. 2015-07, *"Disclosures for Investments in Certain Entities That Calculate Net Asset Value ("NAV") per Share (or Its Equivalent)"*, which removes the requirement to categorize within the fair value hierarchy all investments measured using the net asset value per share as a practical expedient and related disclosures. Changes in unrealized gains from assets subject to NAV are included in unrealized gains from investments in the consolidated statements of income.

The Company regularly reviews its investments to evaluate the necessity of recording impairment losses for declines in the fair value of investments.

Investments in Unconsolidated Entities

The Company evaluates investments in other entities for consolidation. The Company considers the percentage interest in the entity, evaluation of control and whether a variable interest entity ("VIE") exists when determining if the investment qualifies for consolidation. Investments in limited liability companies that have separate ownership accounts for each investor greater than three to five percent are accounted for under the equity method of accounting.

For investments in unconsolidated entities utilizing the equity method of accounting, the investment is recorded initially at cost, and subsequently adjusted for all realized income (loss) and all the Company's proportionate share of income or loss ("Equity Earnings"). The Net Income of each investor is allocated in accordance with the provisions of the operating agreement of the entity. The allocation provisions in these agreements may differ from the ownership interest held by each investor. The Company's Equity Earnings in these items are reported as a single line item in operations as equity earnings from limited partnerships and limited liability companies. The unrealized gains and losses of these entities are also reflected in the investment and are included in unrealized gains (losses) from investments.

For investments in unconsolidated entities utilizing the cost method of accounting, the investment is recorded initially at cost, and subsequently adjusted for cash contributions and distributions.

On a quarterly basis, the Company assesses whether the value of its investments in unconsolidated entities has been impaired. An investment is impaired only if management's estimate of the fair value of the investment is less than its carrying value, and such decline in value is deemed to be other than temporary. The ultimate realization of the Company's investment in partially owned entities is dependent on a number of factors including the performance of that entity and market conditions. If the Company determines that a decline in the value of a partially owned entity is other than temporary, it will record an impairment charge.

Cryptocurrency Mining Assets

Cryptocurrency mining assets consists of building and computer equipment utilized in the Company's cryptocurrency mining operations and are reported at cost less accumulated depreciation. Depreciation is provided using the straight-line method over the estimated useful lives of the assets. The Company estimates the useful life for computer equipment is three years, and building is 39 years.

The Company reviews its real estate asset to evaluate the necessity of recording impairment losses for market changes due to declines in the estimated fair value of the property. In evaluating potential impairment, management considers the current estimated fair value compared to the carrying value of the asset. At May 31, 2022, due to the recent acquisition, the fair value of the real estate asset is estimated to be equal to or in excess of the carrying value.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

As of and for the Years Ended May 31, 2022 and 2021

NOTE 2 - Summary of Significant Accounting Policies (cont.)

Use of Estimates

The preparation of consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Accounts Receivable and Allowance for Doubtful Accounts

In the normal course of business, the Company provides unsecured credit to customers, performs credit evaluations of these customers, and maintains reserves for potential credit losses. In determining the amount of allowance for doubtful accounts, management considers historical credit losses, the past due status of receivables, payment history, and other customer-specific information. The past due status of a receivable is based on its contractual terms. Expected credit losses are recorded as an allowance for doubtful accounts. Receivables are written off when management determines they are uncollectible. An allowance for doubtful accounts is not provided as of May 31, 2022 and 2021 since, in the opinion of management, all of its accounts are deemed collectible. Accounts receivable as of May 31, 2022 and 2021 are comprised 100% from one related party.

Securities Sold, not yet purchased

Securities sold, not yet purchased, or securities sold short, represent obligations of the Company to deliver the specified security, and thereby create a liability to repurchase the security in the market at then prevailing prices. Securities sold, not yet purchased are recorded as a liability at fair value.

Revenue Recognition

The Company primarily generates revenue through advisory, consulting fees and cryptocurrency mining revenue. The accrual method of accounting is used to record fee income, which is recognized when the advisory and consulting services are performed. The Company's cryptocurrency mining assets include computer equipment that participates in validation of the cryptocurrency network by solving algorithms in exchange for a reward. The Company receives cryptocurrency, as its proportional share of network rewards, on a daily basis. The value of the cryptocurrency received for the reward is based on the market price of cryptocurrency at 4:00 pm New York time on the day the reward is received.

Security transactions are recorded based on a trade date. Dividend income is recognized on the ex-dividend date, and interest income is recognized on an accrual basis. Discounts and premiums on securities purchased are amortized over the life of the respective securities. Realized gains and losses from security transactions are recorded on a specific identification basis.

Revenue from the Company's interest in Horizon Kinetics' gross revenue stream is earned primarily on a month-by-month basis. The Company's share of annual incentive fees earned by Horizon Kinetics, if any, are included in the quarter ended in February when the incentive fees are determinable.

Income from investments measured at fair value are as follows:

Revenue from investments carried at fair value is earned based upon FRMO's allocated share of each investment's proportionate share of changes in unrealized gains and losses to its partners on a calendar year basis.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS As of and for the Years Ended May 31, 2022 and 2021

NOTE 2 - Summary of Significant Accounting Policies (cont.)

Research

Research expenditures, consisting of investment research, are expensed as incurred.

Stock-based Compensation

The Company records compensation expense associated with equity-based compensation in accordance with guidance established by U.S. GAAP. Equity award compensation expense for the years ended May 31, 2022 and 2021 is the estimated fair value of the grants amortized on a straight-line basis over the service period for the entire portion of the award less an estimate for anticipated forfeitures.

Income Taxes

The Company files a consolidated federal income tax return with its wholly-owned subsidiary. Material differences between the financial reporting and the tax reporting of the Company's revenue, assets, and liabilities are included in deferred tax assets or liabilities. The income tax provisions and liability for income taxes are based on enacted tax laws and statutory tax rates applicable to the respective periods.

Deferred income tax is recognized using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred income tax is not recognized for differences relating to investments in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future. Deferred income tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognized to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

The Company follows the relevant provisions of U.S. GAAP concerning uncertainties in income taxes, which clarifies the accounting for uncertainty in tax positions and requires that the Company recognize in its consolidated financial statements the impact of an uncertain tax position, if that position has a more-likely-than-not chance of not being sustained on audit, based on the technical merits of that position.

All interest and penalties are expensed as incurred. Tax returns for the years ended May 31, 2019 and forward are still subject to examination. The Company has evaluated its tax position and determined that no provision for uncertainty in income taxes is necessary as of May 31, 2022 and 2021.

Subsequent Events

The Company has evaluated all subsequent events from the date of the consolidated balance sheets through August 12, 2022, which represents the date these consolidated financial statements are available to be issued.

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

As of and for the Years Ended May 31, 2022 and 2021

NOTE 3 - Adoption of New Accounting Pronouncements

The Company has determined that no recently issued accounting pronouncements will have a material impact on its consolidated financial position, results of operations and cash flows, or do not apply to its operations.

NOTE 4 - Participation Interest

In 2013, the Company amended the terms of its product-specific revenue interests in the following products managed by Horizon Kinetics and its subsidiaries: (i) a mutual fund, (ii) two private investment funds, (iii) a consultative relationship with an institutional investor and, (iv) an institutional separate account. Since then, FRMO now receives a single revenue interest (the "Revenue Interest") equal to 4.199% of the gross revenues of Horizon Kinetics. Horizon Kinetics is considered a VIE of the Company due to this revenue interest. See Note 5 for additional disclosures relating to this VIE. This revenue interest was approximately \$2,884,000 and \$2,335,000, representing approximately 62% and 63% of "fees" included in operations for the years ended May 31, 2022 and 2021.

The 4.199% Revenue Interest had an estimated fair value of \$10,200,000 as determined by an independent valuation and is shown as "Participation in Horizon Kinetics LLC revenue stream" in the consolidated balance sheets. This participation interest is a non-amortizing indefinite life intangible asset that was recorded at cost and is assessed for impairment at least annually.

As a result of this transaction, the Company realized a gain of approximately \$10,057,000 in 2013. As of May 31, 2022 and 2021, income taxes of approximately \$3,340,000 and \$3,382,000, respectively, on the gain are deferred pursuant to Section 1031 of the Internal Revenue Code relating to "like-kind exchanges" and are included in "Deferred tax liability" in the consolidated balance sheets.

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
As of and for the Years Ended May 31, 2022 and 2021

NOTE 5 - Investments

Limited Partnerships and Limited Liability Companies and Equity Investments

The Company's investments in limited partnerships and equity investments consist of the following as of May 31, 2022 and 2021:

	As of May 31, 2022		
	Cost or (Proceeds)	Unrealized Gains	Estimated Fair Value
Equity Securities	<u>\$ 74,399,681</u>	<u>\$112,986,543</u>	<u>\$187,386,224</u>
Investments in limited partnerships and other equity securities:			
Limited partnerships			
Investment in South LaSalle Partners, LP	<u>\$ 5,561,379</u>	<u>\$ 3,231,739</u>	<u>\$ 8,793,118</u>
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	\$ 14,768,374	\$ 15,061,473	\$ 29,829,847
CDK Partners, LP	1,347,099	3,724,889	5,071,988
Polestar Fund, LP	14,042,007	19,909,532	33,951,539
Multi-Disciplinary Fund, LP	548,242	214,389	762,631
Kinetics Institutional Partners, LP	7,201	19,331	26,532
Shepherd I, LP	13,623	11,699	25,322
Other	39	54,835	54,874
Total Investments in Managed Funds	<u>30,726,585</u>	<u>38,996,148</u>	<u>69,722,733</u>
Investment in Winland Holdings Corporation	<u>1,502,993</u>	<u>2,610,737</u>	<u>4,113,730</u>
Total investments in limited partnerships and other equity securities	<u>\$ 37,790,957</u>	<u>\$ 44,838,624</u>	<u>\$ 82,629,581</u>
Securities sold, not yet purchased (liability)	<u>\$ (8,548,222)</u>	<u>\$ 5,974,867</u>	<u>\$ (2,573,355)</u>

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS As of and for the Years Ended May 31, 2022 and 2021

NOTE 5 - Investments (cont.)

	As of May 31, 2021		
	Cost or (Proceeds)	Unrealized Gains	Estimated Fair Value
Equity Securities	<u>\$ 72,736,126</u>	<u>\$ 98,997,260</u>	<u>\$171,733,386</u>
Investments in limited partnerships and other equity securities:			
Limited partnerships			
Investment in South LaSalle Partners, LP	<u>\$ 5,715,830</u>	<u>\$ 3,576,903</u>	<u>\$ 9,292,733</u>
Investments in managed funds			
Horizon Multi-Strategy Fund, LP	\$ 13,996,694	\$ 17,922,112	\$ 31,918,806
CDK Partners, LP	1,343,423	4,175,391	5,518,814
Polestar Fund, LP	13,276,315	20,238,642	33,514,957
Multi-Disciplinary Fund, LP	539,218	233,466	772,684
Kinetics Institutional Partners, LP	7,078	20,184	27,262
Shepherd I, LP	<u>12,245</u>	<u>15,629</u>	<u>27,874</u>
Total Investments in Managed Funds	<u>29,174,973</u>	<u>42,605,424</u>	<u>71,780,397</u>
Investment in Winland Holdings Corporation	<u>991,725</u>	<u>4,788,683</u>	<u>5,780,408</u>
Total investments in limited partnerships and other equity securities	<u>\$ 35,882,528</u>	<u>\$ 50,971,010</u>	<u>\$ 86,853,538</u>
Securities sold, not yet purchased (liability)	<u>\$(11,709,149)</u>	<u>\$ 5,590,787</u>	<u>\$ (6,118,362)</u>

The Company's investment capital in South LaSalle Partners, LP may be withdrawn as of the last day of each calendar quarter by providing the general partner with 60 days advance written notice. The general partner, in its sole discretion, may permit withdrawals at other times or otherwise modify or waive such withdrawal conditions and requirements, including any notice period, for any or all of the limited partners at any time without notice to or the consent of the limited partners. An entity, related by common ownership, is a member of both the general partner and the Manager of South LaSalle Partners, LP.

The Company's investment capital in the Horizon Multi-Strategy Fund, LP may be withdrawn on 45 days prior written notice to the general partner, and the Company may redeem all or part of its capital account on the last day of each calendar quarter. Redemptions may be settled in cash or, at the discretion of the general partner, through in-kind distributions of portfolio securities, the fair market value of which would satisfy the redemption request. An entity, related by common ownership, is a member of both the general partner and the manager of Horizon Multi-Strategy Fund, LP.

The Company's investment capital in CDK Partners, LP (formerly known as Croupier Fund, LP) may be withdrawn as of the last day of each month by providing the general partner with 60 days advance written notice. The general partner, in its sole discretion, may permit withdrawals at other times or otherwise modify or waive such withdrawal conditions and requirements. All withdrawal amounts may be paid in cash or in kind (or a combination thereof), in the general partner's sole discretion.

**FRMO CORPORATION
AND SUBSIDIARIES**

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

As of and for the Years Ended May 31, 2022 and 2021

NOTE 5 - Investments (cont.)

The Company's investment capital in Polestar Fund, LP may be withdrawn as of the last day of each month (or such other dates as the general partner in its discretion shall determine) by providing the general partner with 45 days advance written notice, with the minimum amount to be withdrawn of \$100,000. The general partner may, in its sole discretion, allow redemptions that do not comply with the above requirements; however, such redemptions may be subject to a penalty equal to up to 2% of the redemption amount requested. All withdrawal amounts may be paid in cash or in kind (or a combination thereof), in the general partner's sole discretion. An entity, related by common ownership, is a member of both the general partner and the manager of Polestar Fund, LP.

The Company's investment in the Multi-Disciplinary Fund, LP may be withdrawn as of the last business day of any calendar quarter upon at least 45 days advance written notice to the general partner, and in such other amounts and at such other times as the general partner may determine in its sole discretion. The minimum amount to be withdrawn is \$50,000. Partial withdrawals may not be made without the general partner's consent if they would reduce the investor's capital account balance below \$100,000. All withdrawals shall be deemed made prior to the commencement of the following calendar quarter. The general partner has discretion to waive or vary these terms. An entity, related by common ownership, is a member of both the general partner and the manager of Multi-Disciplinary Fund, LP.

The Company's investment in Kinetics Institutional Partners, LP may be withdrawn upon 20 days prior notice to the general partner, on the last business day of each calendar month at the then net asset value, less any applicable accrued incentive allocations as of the previous valuation date, or at such other times at the general partner's discretion, to make a partial or total withdrawal from the Company's capital accounts (subject to the right of the general partner, in its sole discretion, to waive such withdrawal restrictions).

The Company's investment in Shepherd I, LP may be withdrawn on 45 days prior written notice to the general partner, in whole or in part, from the Company's capital account, as adjusted for net profits and net losses, as of the last business day of June and December of each year, subject to a minimum transaction amount of \$10,000 (or the balance of the capital account if less than \$10,000) or at such other times and in such other amounts as the general partner shall determine in its sole discretion. Without the consent of the general partner, which may be given or withheld in its sole discretion, no partial withdrawal may be made that would reduce the Company's residual balance in its capital account below \$250,000. All redemptions will take into account the applicable performance allocation, if any, due to the general partner. Withdrawals are not permitted unless the interest has been held for at least six months as of the withdrawal date. The general partner, in its sole discretion, may waive any of these withdrawal requirements.

The Company's investment in Winland Holdings Corporation is recorded as a non-current asset due to its limited trading activity and the possible inability of the Company to sell all of the shares owned within a one-year period.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS As of and for the Years Ended May 31, 2022 and 2021

NOTE 5 - Investments (cont.)

Investments in Unconsolidated Entities

Investment in Securities Exchanges

Investments in securities exchanges consist of the following as of May 31, 2022 and 2021:

Miami International Holdings, Inc.	\$ 4,322,905
CNSX Markets, Inc.	243,040
American Financial Exchange, LLC	249,080
Total securities exchanges	<u>\$ 4,815,025</u>

The Company holds a 1.41% interest in CNSX Markets, Inc. and less than a 1.00% interest in other stock exchanges.

Other Investments

The following are the Company's other investments as of May 31, 2022 and 2021:

	<u>May 31, 2022</u>	<u>May 31, 2021</u>
Cryptocurrency Mining Entities		
Consensus Mining and Seigniorage Corporation	\$ 454,884	\$ -
HK Cryptocurrency Mining, LLC	-	33,931
HK Cryptocurrency Mining II, LLC	-	140,860
HM Tech, LLC	14,979	60,993
Total cryptocurrency mining entities	469,863	235,784
Digital Currency Group, Inc.	76,261	76,261
Total other investments	<u>\$ 546,124</u>	<u>\$ 312,045</u>

On December 1, 2021, two of the Company's Other Investments, HK Cryptocurrency Mining, LLC ("HKCCM") and HK Cryptocurrency Mining II, LLC ("HKCCM2") merged into a newly created Delaware corporation named Consensus Mining & Seigniorage Corporation ("CMSC"). As a result of the contribution of assets from shareholders of HKCCM and HKCCM2, as well as new capital contributions, CMSC had total contributed capital of \$86,402,539 and issued 2,249,985 shares at a price of \$38.40. Accordingly, the Company now owns 11,864 shares of CMSC valued at \$454,884. A realized gain of approximately \$240,000 from this transaction was recorded in the three months ended February 28, 2022.

Investments under the Equity Method of Accounting

The Company's investment in Horizon is accounted for under the equity method of accounting. This investment has been reviewed for impairment with none being noted.

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS As of and for the Years Ended May 31, 2022 and 2021

NOTE 5 - Investments (cont.)

As of May 31, 2022 and 2021, significant financial information relating to the Company's investment in Horizon consists of the following:

	As of May 31, 2022	As of May 31, 2021
	(Unaudited)	(Unaudited)
Equity Investment	\$ 14,701,779	\$ 16,366,211
Ownership %	4.95%	4.95%
Equity (Loss) Earnings	\$ (811,672)	\$ 5,950,672
Accounts Receivable	\$ 2,124,968	\$ 1,915,158

The Company's equity investment in Horizon includes adjustments related to acquisition fair market valuation.

Horizon's summarized significant financial data is as follows:

	As of May 31, 2022	As of May 31, 2021
	(Unaudited)	(Unaudited)
Balance Sheet Data:		
Goodwill and Other Intangible Assets	\$ 66,137,615	\$ 68,272,214
Other Assets	\$ 138,268,627	\$ 171,313,261
Liabilities	\$ 6,688,805	\$ 6,852,981
Equity	\$ 197,717,437	\$ 232,732,494
	Years Ended May 31,	
	2022	2021
	(Unaudited)	(Unaudited)
Income Statement Data:		
Revenue	\$ 40,818,000	\$ 81,044,046
Expenses	\$ 45,391,671	\$ 39,400,899
Other (Loss) Income	\$ (9,256,657)	\$ 77,181,982
Net (Loss) Income	\$ (13,830,328)	\$ 118,825,129

Investment Concentration

The following are the approximate amounts of the Company's investments in equity securities held directly and indirectly, through its various investments in managed funds, amounting to greater than 10% of stockholders' equity attributable to the Company ("Equity"). None of the Company's other direct or indirect investments were greater than 10% of Equity as of May 31, 2022 and 2021.

	As of May 31, 2022		As of May 31, 2021	
	Amount	Percent of Equity	Amount	Percent of Equity
Investment A	\$ 92,563,000	51.0%	\$ 83,425,000	44.1%
Investment B	\$ 18,238,000	10.1%	\$ 22,448,000	11.9%

FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

As of and for the Years Ended May 31, 2022 and 2021

NOTE 6 - Fair Value Measurements

The following tables present information about the Company's assets and liabilities that are measured at fair value on a recurring basis as of May 31, 2022 and 2021, and indicates the fair value hierarchy of the valuation techniques the Company utilized to determine such fair values.

In accordance with ASC Subtopic 820-10, certain investments that are measured at fair value using the net asset value per share (or its equivalent) practical expedient have not been classified in the fair value hierarchy. The fair value amounts presented in this table are intended to permit reconciliation of the fair value hierarchy to the amounts presented in the consolidated balance sheets.

In accordance with the fair value accounting requirements, companies may choose to measure eligible financial instruments and certain other items at fair value. The Company has elected the fair value option for its investments on an investment-by-investment basis at the time each investment is initially recognized in the financial statements or upon an event that gives rise to a new basis of accounting for these items. The Company has elected the fair value option for its investment in Winland Holdings Corporation.

		As of May 31, 2022			
		Fair Value Measurements at Reporting Date Using			
		Quoted Prices			
		Investments Measured at Net Asset Value	in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Total		Value	(Level 1)	(Level 2)	(Level 3)
Assets (at fair value):					
Money Market Mutual Funds included in Cash and Cash Equivalents					
	\$	32,697,079	\$ -	\$ 32,697,079	\$ -
Other Investments:					
Equity Securities					
	\$	187,386,224	\$ -	\$ 187,386,224	\$ -
Investment in Limited Partnerships and other Equity Investments					
		82,629,581	78,515,851	-	4,113,730
Total Other Investments	\$	270,015,805	\$ 78,515,851	\$ 187,386,224	\$ 4,113,730
Liabilities (at fair value):					
Common Stocks					
	\$	2,573,355	\$ -	\$ 2,573,355	\$ -

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NOTE 6 - Fair Value Measurements (cont.)

	As of May 31, 2021				
	Fair Value Measurements at Reporting Date Using				
	Quoted Prices				
	Investments Measured at Net Asset Value	in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	
Assets (at fair value):					
Money Market Mutual Funds included in Cash and Cash Equivalents	\$ 34,223,890	\$ -	\$ 34,223,890	\$ -	\$ -
Other Investments:					
Equity Securities	\$ 171,733,386	\$ -	\$ 171,733,386	\$ -	\$ -
Investment in Limited Partnerships and other Equity Investments	86,853,538	81,073,130	-	5,780,408	-
Total Other Investments	\$ 258,586,924	\$ 81,073,130	\$ 171,733,386	\$ 5,780,408	\$ -
Liabilities (at fair value):					
Common Stocks	\$ 6,118,362	\$ -	\$ 6,118,362	\$ -	\$ -

NOTE 7 - Income Taxes

The Company files a consolidated federal income tax return and a combined state/city tax return with its wholly-owned subsidiary, Fromex Equities Corp. HKHA, included in consolidated net income before taxes is a pass-through entity subject to K-1 reporting and is not included in the Company's consolidated income tax return. Pass-through income allocated to the Company is based on the Company's ownership percentage as of May 31, 2022 and 2021, which was 21.88% and 22.02% respectively. Income tax attributable to the remaining noncontrolling interest of 78.12% and 77.98% represents a permanent difference related to "consolidation of noncontrolling interests" in the reconciliation table below of federal statutory rate to effective tax rate.

The Company records adjustments related to prior years' taxes during the period when they are identified, generally when the tax returns are filed. The effect of these adjustments on the current and prior periods (during which the differences originated) is evaluated based upon quantitative and qualitative factors and are considered in relation to the consolidated financial statements taken as a whole for the respective periods. These adjustments resulted in a decrease of \$2,746,201 and an increase of \$464,863 to the provision for income taxes during the years ended May 31, 2022 and 2021, respectively. These adjustments are listed as "True-up of prior year tax" in the reconciliation table below of federal statutory rate to effective tax rate, and are primarily related to pass through items from investment partnerships and allocations of state and city income subject to taxation. These adjustments to prior year income taxes represent 1.84% and 1.98% of income before taxes for the years ended May 31, 2021 and 2020.

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NOTE 7 - Income Taxes (cont.)

The (benefit from) provision for income taxes is comprised of the following for the years ended May 31:

	Years Ended May 31,	
	2022	2021
Current		
Federal	\$ (235,050)	\$ 3,224,297
State and City	(235,030)	2,592,651
Total Current	<u>(470,080)</u>	<u>5,816,948</u>
Deferred		
Federal	(261,302)	14,742,487
State and City	<u>(42,258)</u>	<u>(669,305)</u>
Total Deferred	<u>(303,560)</u>	<u>14,073,182</u>
Total (Benefit from) Provision for Income Taxes	<u>\$ (773,640)</u>	<u>\$ 19,890,130</u>

The current year provision for income taxes include estimated amounts for income and loss items derived from pass through entities. The actual amounts are determined upon completion of the Company's tax return and may differ from the amounts presented above due to the variable nature of these items.

Deferred tax assets and liabilities are determined using the enacted tax rates applicable to the period the temporary differences are expected to be recovered. Accordingly, the current period income tax provision is affected by the enactment of 2021 tax rates. The net deferred income taxes on the balance sheets reflect temporary differences between the carrying amounts of the assets and liabilities for financial reporting purposes and income tax purposes, tax effected at a various rates depending on whether the temporary differences are subject to federal taxes, state and city taxes, or both.

The tax effects of temporary differences which give rise to the deferred tax liability consist of the following as of May 31, 2022 and 2021:

	May 31, 2022	May 31, 2021
Deferred Tax Liability		
Investments in limited partnerships	\$ 420	\$ 126,554
Investment in unconsolidated limited liability companies	132,660	132,660
Deferral of gain from like-kind exchange	3,339,319	3,381,578
Unrealized gain from equity securities and investments in managed funds	<u>16,998,040</u>	<u>17,133,207</u>
Total Deferred Tax Liability	<u>\$ 20,470,439</u>	<u>\$ 20,773,999</u>

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NOTE 7 - Income Taxes (cont.)

A reconciliation of the federal statutory rate to the effective tax rate is as follows for the years ended May 31, 2022 and 2021:

	2022		2021	
Income before taxes	\$ 12,493,479	100.00%	\$ 149,218,898	100.00%
Computed expected tax expense	\$ 2,623,631	21.00%	\$ 31,335,969	21.00%
State and City taxes, net of federal benefit	822,386	6.58%	1,685,545	1.13%
Decrease in allocation of income to State and City	(33,384)	-0.27%	(7,414)	0.00%
True-up of prior year tax	(2,746,201)	-21.98%	466,458	0.31%
Permanent differences	669,325	5.36%	236,146	0.16%
Other	125	0.00%	113	0.00%
Provision for income taxes before consolidation of noncontrolling interests	1,335,882	10.69%	33,716,817	22.60%
Permanent differences related to consolidation of noncontrolling interests	(2,109,522)	-16.88%	(13,826,687)	-9.27%
Total (benefit from) provision for income taxes	\$ (773,640)	-6.19%	\$ 19,890,130	13.33%

NOTE 8 – Mortgage Payable

On November 8, 2019, the Company acquired a building to be used in certain business operations for \$1,050,000 located in North Carolina. The building was purchased subject to an \$800,000 mortgage with a 3.9% interest rate with a maturity date of November 6, 2024. A balloon payment of \$655,255 is due at maturity. The mortgage is also collateralized by an assignment of all rents received from the building. The building is rented to a related party, subject to a lease that calls for \$11,450 per month in rent through November 2024.

The following table presents contractual principal payments of the Company's obligation under this mortgage as of May 31, 2022:

	For the Year Ending May 31,	Total
2023	\$ 30,023	
2024	31,215	
2025	668,625	
Total	\$ 729,863	

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NOTE 9 - Net Income Per Common Share and Per Common Share Equivalent

Basic and diluted earnings per common share is calculated by dividing net income allocated to common stock by the weighted average common shares outstanding during the period. The weighted average number of shares of common stock used in the calculation of diluted earnings per share is adjusted for the dilutive effects of potential common shares including the assumed exercise of vested stock options based on the treasury stock method. Assumed exercise or conversion of potential common shares is only when the weighted average market price for the period exceeds the exercise price and the conversion price, and that the entity records earnings from continuing operations, as the inclusion of such adjustments would otherwise be anti-dilutive to earnings per share from continuing operations.

Potential common shares consist of unexercised stock options of 56,000 for years ended May 31, 2022 and 2021.

As of May 31, 2022 and 2021 there were 48,000 and 56,000 vested options, respectively, with an exercise price below the weighted average market price of the Company's common stock during the period.

The reconciliation of the weighted average number of common shares used in the calculation of basic and diluted earnings per common share follows for the years ended May 31:

	2022	2021
Weighted Average Common Shares Outstanding	44,016,014	44,020,233
Effect of Dilutive Securities, common share equivalents:		
Exercise of stock options	<u>18,799</u>	<u>17,946</u>
Dilutive Potential Common Share Equivalents	<u><u>44,034,813</u></u>	<u><u>44,038,179</u></u>

NOTE 10 - Noncash Compensation

Noncash compensation expense represents a notional salary allocation for the Company's senior officers. The officers of the Company are responsible for all of the Company's operations and have agreed to not draw any cash salaries for an indefinite period. Noncash compensation expense is recorded as an increase to additional paid-in capital.

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NOTE 11 - Stockholders' Equity

Redeemable Preferred Stock

The number of authorized Series R preferred shares is 5,000 with a par value of \$.001 per share. These shares are each convertible to 1,000 shares of the Company's common stock at the option of either the Company or the holder. There were no shares of preferred stock outstanding as of May 31, 2022 and 2021.

Stock Options

A summary of option activity as of May 31, 2022, and changes during the year then ended, is as follows:

<i>Stock Options</i>	Number of Shares	Weighted Average Exercise Price Per Share	Weighted Average Remaining Contractual Term	Aggregate Intrinsic Value
Outstanding at June 1, 2021	56,000	\$ 6.86	3.36	\$ 268,400
Granted	8,000	\$ 10.85	6.36	\$ -
Exercised	(5,000)	\$ 9.18	-	\$ 8,350
Forfeited	<u>(3,000)</u>	<u>\$ 9.18</u>	<u>-</u>	<u>\$ 5,010</u>
Outstanding at May 31, 2022	<u>56,000</u>	<u>\$ 7.10</u>	<u>3.36</u>	<u>\$ 145,440</u>
Vested and Exercisable at May 31, 2022	<u>56,000</u>	<u>\$ 7.10</u>	<u>3.36</u>	<u>\$ 145,440</u>

All stock options were vested as of May 31, 2022 and 2021.

The aggregate intrinsic value of options outstanding and options exercisable at May 31, 2022 and 2021 is calculated as the difference between the exercise price of the underlying options and the market price of FRMO's common stock for the shares that had exercise prices that were lower than the \$9.50 and \$11.65 closing price of FRMO's common stock on May 31, 2022 and 2021, respectively.

As of May 31, 2022, there was no unrecognized compensation cost related to unvested options.

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NOTE 12 - Contingencies

The outbreak of the coronavirus, also known as "COVID-19", has spread across the globe and is impacting worldwide economic activity. Conditions surrounding the coronavirus continue to rapidly evolve and government authorities have implemented emergency measures to mitigate the spread of the virus. The outbreak and the related mitigation measures have had and will continue to have a material impact on global economic conditions as well as on the Company's business activities. The extent to which COVID-19 may impact the Company's revenue will depend on future developments, such as the ultimate geographic spread of the disease, the duration of the outbreak, travel restrictions, business disruptions, and the effectiveness of actions taken in the United States and other countries to contain and treat the disease. These events are highly uncertain and, as such, the Company cannot determine their financial impact at this time. No adjustments have been made to the amounts reported in these consolidated financial statements as a result of this matter.